

Investment Credit Memorandum

Harborview CLO 2023-3 | Mariner Energy Holdings | 20 October 2023

1. Recommendation

Credit committee is asked to approve a \$7,000,000 allocation of the Mariner Energy Holdings first-lien term loan into the Harborview CLO 2023-3 warehouse, and to roll that position into the CLO at closing. The borrower is Mariner Energy Holdings, headquartered in Houston. The financial sponsor is Tidepool Energy. Analyst: Diego Vargas. Committee chair: Robert Lang. Portfolio manager: Amina Solace, Beacon Hill Credit LLC.

Recommendation: Approve at a maximum par of \$7,000,000 (1.75% of the \$400,000,000 target CLO portfolio). The name sits inside the 2.0% single obligor concentration limit in the Harborview CLO 2023-3 indenture. Moody's corporate family rating is Ba3. S&P issuer credit rating is BB-. The loan is US dollar denominated and is eligible collateral under the term sheet dated 2 November 2023.

2. Borrower and sponsor

Mariner Energy Holdings operates in Energy. The company is owned by Tidepool Energy. Neither the sponsor nor the borrower is affiliated with Beacon Hill Credit LLC.

Related book names in Harborview CLO 2023-3 include Quarry Lane Materials, Lumen Dental Groups. Those names are separate obligors and should not be aggregated for the single obligor test.

3. Facility terms

Instrument: Mariner Energy Holdings first-lien term loan. Spread: SOFR + 3.75% with a 0.75% floor. The credit agreement is covenant-lite. East Pier Bank is the warehouse lender to Harborview CLO 2023-3.

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4. Credit highlights and risks

Highlights: sponsor support from Tidepool Energy, first-lien or unitranche collateral, and an allocation inside the 2.0% obligor cap.

Risks: sector cyclicity in Energy and add-on acquisition risk. Diego Vargas confirmed that Moody's industry classification for Mariner Energy Holdings is 'Energy'.

5. CLO fit and covenants

The allocation complies with the Class A/B Overcollateralization Test methodology because the loan is par-eligible and rated Ba3. It uses 1.75 of the 2.00 percentage-point largest-obligor covenant. Amina Solace confirmed the trade for Harborview CLO 2023-3.

If Mariner Energy Holdings is downgraded to Caa1, the position would count toward the 7.5% Caa bucket in the Harborview CLO 2023-3 indenture. U.S. Bank Trust Company, N.A. would reflect that classification on the next monthly trustee report. Beacon Hill Credit LLC would then evaluate a sale during the reinvestment period.

6. Committee decision

Credit committee of Beacon Hill Credit LLC approved the \$7,000,000 purchase for the Harborview CLO 2023-3 warehouse on 20 October 2023. Voting members: Robert Lang (chair), Amina Solace, and Diego Vargas. The trade will settle into the East Pier Bank warehouse and be conveyed to Harborview CLO 2023-3, Ltd. on the closing date of 16 November 2023.